

FUNDAMENTALS OF COSTING AND PRICING

DAY 1



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LESSON FOUR

COSTING YOUR SERVICE

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How do you work out your costs when you have an organization that generates its income by selling time or offering services such as **training, consulting or counselling**?

Probably the most critical thing you need to do when running a service organisation, is to charge your time out at the correct rate. Many organisations find themselves in a situation where they simply are not charging enough per hour or per job, and therefore making no profit.

Hourly Rate or Flat Fee?

Many service businesses tend to charge by the hour, rather than a flat fee (a fee for the entire job as a whole).

A flat fee can be used, however, when you know with some accuracy how long a job will take to do. An example of this might be a hairdresser, who knows through experience how long a haircut or certain treatment takes, a service technician who does a monthly service, or a computer trainer or piano teacher, who have a set rate per lesson.

For many service businesses, though, it can be difficult to work out exactly how long a job will take, hence the usefulness of an hourly rate. But how do you know what hourly rate to charge?

Method for working out an hourly rate in a service-based business

When working out an hourly rate, the first thing to consider is **how many chargeable hours** you (and your staff) can achieve.

Let's imagine you own an environmental consulting business, made up of yourself and two consultants who work for you.

Say, for example, you normally work a 40-hour week. Not all of this time is productive. There will be down time for things such as lunch breaks, morning and afternoon teas, administration work, doing quotes for clients etc.

Also, don't forget that you need to allow time for holidays, sick leave, etc.

So, an example of calculating chargeable hours might be:

Total hours 40 hours x 52 weeks x 3 people = 6240 working hours in the year

Less: Non-chargeable time

Annual holidays – 8 hours x 15 days x 3 = 360

Public holidays – 8 hours x 11 days x 3 = 264

Sick leave – 8 hours x 5 days x 3 = 120

Total = 744



Thus, we are left with the following available hours 5496
 Less: Non-Productive time (assume 25% for tea, breaks, admin etc.) (1374)

Total Chargeable Hours Available = 4122

(If you have staff who have regular training/studying commitments (or you do) this needs to be added to the above non-chargeable time).

Many of you will look at the above and think "No, that's not right – I won't have three weeks' holiday a year – I'll make do with one week". Well, that may well happen, but you do have to work on an ideal scenario – IN ANY EVENT, as business owner, you SHOULD take enough leave to keep you energised and motivated for the periods when you are at work!

Once you've done this, the next step is to work out the overheads of your organization.

If you've just started the business, you will probably find it helpful to talk to people like your Accountant, Bank Manager etc. to get some estimates of annual overhead costs. Below is an example of what your annual overheads might be:

• Salaries & Wages	198,000
• Accountancy Fees	10,000
• Repairs	1,200
• Electricity	12,500
• Vehicle Expenses	24,000
• Printing & Stationery	6,000
• Insurance	12,000
• Advertising	2,000
• Cleaning	10,000
• Legal Fees	2,800
• Rental & Related Expenses	36,000
• Telephone & Internet	20,000
• Interest	900
• Other Costs	12,000
	R347,400



So, your charge out rate to **break even** will be:

Total Overhead Costs divided by Total Chargeable Hours

Which, in our example gives us $R347,700 \div 4122\text{hrs} = R84.35/\text{hour break-even rate}$.

IMPORTANT – If you charge out your time at this figure and manage to ‘sell’ all the available productive hours on hand, you will simply **break even**. You still need to add a percentage **mark-up** to your hourly rate for your profits.

Also, you will still need to charge the client for any materials necessary to deliver the service – whether you add a mark-up to the materials as well is based on industry norms and best practice.

Finally, you might need to calculate different charge out rates for several staff in the company, depending on their actual cost to the business.

NOTES:

- Usually if a service business is unprofitable, it is due to a charge-out rate that is too low.
There can be other reasons too, like too much unproductive/wasted time, not charging for all jobs actually carried out, etc.
- The charge out rate you work out will need to be updated regularly, as overheads change. If you don’t do this, it will eat into the amount of money you make out of your business. For example, if your rent goes up 10%, this needs to be adjusted for and reflected in your rate.
- You also need to adjust if you take on more staff – as this will alter both the chargeable hours available as well as the overheads.

Of course, at the end of the day, you do need to consider what the market will bear i.e. is your hourly charge out similar to other businesses in your industry? And where do you want to position yourself from a pricing perspective? But knowing how to work out your break-even charge out rate will help you make informed decisions on these, and other issues related to a service-based offering, in which time is the commodity on offer.